

Lecture 11: Early CAPM Tests and First Cracks

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Intro

- We now start the factor-model module in empirical asset pricing
- Today is about the first CAPM tests and the first cracks in the model
- Logic: CAPM benchmark first, data second, anomalies third, joint tests last

- Part I: why CAPM looked compelling in theory ([Sharpe 1964](#); [Lintner 1965](#); [Mossin 1966](#))
- Part II: early empirical protocols from Black, Jensen, and Scholes ([1972](#)) and Fama and MacBeth ([1973](#))
- Part III: the first anomaly evidence ([Basu 1977](#); [Banz 1981](#); [De Bondt and Thaler 1985](#))
- Part IV: joint testing logic, from Roll ([1977](#)) to Gibbons, Ross, and Shanken ([1989](#))

Part I: CAPM Recall Before Data

Why CAPM Looked So Convincing

- It linked portfolio choice to equilibrium expected returns
- It delivered one clear sufficient statistic: market beta
- It generated a sharp cross-sectional prediction
- It was simple enough to estimate and teach
- It became the default benchmark for cost of capital

CAPM Assumptions (What We Bought Into)

- Investors are mean-variance optimizers over one period
- Everyone can borrow/lend at a common risk-free rate
- Homogeneous beliefs about return moments
- Frictionless markets: no taxes, no transaction costs, full divisibility
- Everyone can hold the same set of traded assets

Mean-Variance Frontier and Tangency Portfolio

$$\max_w \frac{\mathbb{E}[R_p] - R_f}{\sigma(R_p)}, \quad R_p = w' R$$

- Efficient portfolios are combinations of the risk-free asset and one tangency portfolio
- The tangency portfolio is the highest Sharpe-ratio risky portfolio
- All investors differ only in how much risk they scale, not in risky composition

Market Portfolio in Equilibrium

- If everyone chooses the same tangency risky portfolio, aggregate demand must match supply
- Market clearing implies the tangency portfolio is the market portfolio
- This equilibrium step turns mean-variance math into an asset-pricing model
- From here, beta with the market should price expected returns

From Equilibrium to Beta Pricing

$$\mathbb{E}[R_i - R_f] = \beta_i \mathbb{E}[R_m - R_f], \quad \beta_i \equiv \frac{\text{cov}(R_i, R_m)}{\text{var}(R_m)}$$

- Expected excess returns are linear in market beta
- Only systematic market covariance is priced
- Idiosyncratic risk should not earn a premium

$$\mathbb{E}[R_i] = R_f + \beta_i(\mathbb{E}[R_m] - R_f)$$

- Intercept: risk-free rate
- Slope: market risk premium
- Prediction: all assets should lie on one line in mean-beta space

CAPM as SDF/Beta Representation (Bridge to Lecture 4)

$$m_{t+1} = a - bR_{m,t+1}$$

- CAPM is one special case of the general SDF framework from Lecture 4
- If the SDF is affine in market returns, beta pricing follows mechanically
- This gives a clean bridge between no-arbitrage language and equilibrium CAPM

Testable Implication 1: Linear Risk-Return Tradeoff

- Cross-section: higher beta assets should have higher average returns
- The relation should be approximately linear
- One factor should summarize priced risk in equities
- Adding characteristics should not add explanatory power if CAPM is exact

Testable Implication 2: Zero Pricing Errors

$$R_{i,t} - R_{f,t} = \alpha_i + \beta_i(R_{m,t} - R_{f,t}) + \varepsilon_{i,t}$$

- Exact CAPM implies $\alpha_i = 0$ for all test assets
- Economic failures show up as nonzero alphas
- Empirical work became a hunt for systematic alpha patterns

Black (1972): Zero-Beta CAPM

$$\mathbb{E}[R_i] = \mathbb{E}[R_z] + \beta_i(\mathbb{E}[R_m] - \mathbb{E}[R_z])$$

- Black (1972) relaxes unrestricted risk-free borrowing and lending
- A zero-beta portfolio replaces R_f as the intercept object
- The linear beta-pricing equation survives with a different baseline return

Why Zero-Beta Matters for Empirical Work

- Data often reject the strict Sharpe-Lintner intercept restriction
- A nontrivial zero-beta return can absorb part of that mismatch
- This reframed tests as “is linear beta pricing there?” rather than “is intercept exactly R_f ?”
- It directly shaped how Black, Jensen, and Scholes (1972) interpreted evidence

Questions so far?

Part II: Early CAPM Tests in Data

From Theory to Data: What Early Tests Actually Did

- Build test assets with different estimated betas
- Estimate time-series loadings and pricing errors
- Run cross-sectional regressions linking average returns to betas
- Evaluate whether CAPM restrictions hold jointly

Black-Jensen-Scholes (1972): Design

- Core idea: sort assets by historical beta to get spread in risk exposure ([Black, Jensen, and Scholes 1972](#))
- Use portfolio returns to reduce idiosyncratic noise
- Compare average returns across low- and high-beta portfolios
- Check whether estimated intercept behavior matches strict or zero-beta CAPM

$$R_{p,t} - R_{f,t} = \alpha_p + \beta_p(R_{m,t} - R_{f,t}) + \varepsilon_{p,t}$$

- Run the regression for each beta-sorted portfolio p
- Test whether α_p are close to zero
- Inspect whether low-beta and high-beta portfolios line up with CAPM slope restrictions

- Beta and average return are positively related, but flatter than strict CAPM predicts
- Low-beta portfolios earn “too much” relative to strict CAPM
- High-beta portfolios earn “too little” relative to strict CAPM
- Evidence is more consistent with a zero-beta intercept than with the risk-free intercept

BJS Legacy: Method + Zero-Beta Interpretation

- Set the template for beta-sorted portfolio tests
- Popularized time-series alpha diagnostics in factor evaluation
- Elevated zero-beta CAPM from theory to practical empirical benchmark
- Opened the door for richer factor-model testing protocols

Fama-MacBeth (1973): Why Two Passes?

- Exposure estimation and risk-price estimation are different statistical problems
- Two-pass procedure separates those two steps cleanly ([Fama and MacBeth 1973](#))
- It produces a time series of risk-price estimates for inference
- This became the default empirical workflow in cross-sectional asset pricing

$$R_{i,t} - R_{f,t} = a_i + b_i(R_{m,t} - R_{f,t}) + e_{i,t}$$

- First-pass time-series regressions estimate each asset's market beta
- Betas are treated as characteristics for the second-pass cross section
- Portfolio grouping can be used to stabilize estimates

$$R_{i,t} = \gamma_{0,t} + \gamma_{1,t}\hat{\beta}_i + u_{i,t}$$

- At each date, run a cross-sectional regression of returns on estimated betas
- Average $\gamma_{1,t}$ over time to estimate the market price of beta risk
- Average $\gamma_{0,t}$ to assess the intercept restriction

- A positive average beta-return relation is present
- Intercept evidence is not cleanly aligned with strict Sharpe-Lintner CAPM
- Higher-order beta terms and residual variance are not central once beta is in
- Results reinforced linear-factor testing as an econometric program

- Still the backbone of empirical factor-pricing papers
- Inference must respect generated-regressor and beta-estimation issues
- Results depend on test assets, sample period, and market proxy quality
- Later work adds corrections and alternative estimators, not a full replacement

If beta is enough, why did anomalies show up so quickly?

Part III: The First Cracks

Basu (1977): E/P as a Challenge to CAPM

- Basu (1977) sorts stocks by earnings-to-price ratios
- High E/P portfolios earn higher average returns than low E/P portfolios
- This spread remains difficult to map into a pure one-beta CAPM story
- Early signal that characteristics may contain pricing information

Basu Result: Characteristics vs Beta

- CAPM says beta should span expected-return differences
- Basu evidence says E/P also forecasts the cross section
- Competing interpretations: omitted risk, mispricing, or measurement problems
- This became an early precursor to characteristic-based models

Banz (1981): Size Effect

- Banz (1981) documents higher average returns for small-cap stocks
- The size-return spread is hard to eliminate with market beta alone
- Small-minus-big logic later becomes a canonical factor construction
- Another direct empirical crack in single-factor CAPM

DeBondt-Thaler (1985): Long-Run Reversal

- De Bondt and Thaler (1985) show that long-horizon losers tend to outperform winners
- Multi-year return reversals are difficult for static CAPM to rationalize
- Short takeaway for this lecture: return dynamics matter for pricing tests
- Behavioral interpretations enter the CAPM debate more directly

What These Cracks Have in Common

- They generate systematic nonzero pricing errors relative to CAPM
- Firm characteristics and past returns carry incremental information
- One-factor beta seems too narrow for the observed cross section
- The field now needs stronger model-comparison tools

Part IV: Joint Testing and Synthesis

Why We Need Joint Tests (Roll-to-GRS Motivation)

- Testing each asset separately creates a multiple-testing problem
- A valid model should price a set of assets jointly, not one by one
- Roll (1977): every CAPM test is joint with the chosen market proxy
- The natural next step is a formal joint test on the alpha vector

Gibbons-Ross-Shanken (1989): Main Result

$$H_0 : \alpha_1 = \alpha_2 = \cdots = \alpha_N = 0$$

- Gibbons, Ross, and Shanken (1989) propose an exact finite-sample test of this joint null
- The test is built from time-series regression residual covariance and alpha estimates
- Rejection means the tested factor portfolio is not mean-variance efficient for that asset set

GRS Practical Insight (No Heavy Math)

- Good models need jointly small alphas, not only scattered insignificant t-stats
- Statistical rejection and economic materiality are different objects
- Conclusions depend on which assets and factors are included in the test
- GRS remains a core diagnostic for factor-model performance

- CAPM gave a disciplined starting benchmark
- BJS and Fama-MacBeth established the empirical playbook
- Basu, Banz, and DeBondt-Thaler revealed systematic cracks
- GRS formalized joint model evaluation in finite samples
- Next step: the Fama-French revolution and the multi-factor era

Readings and References i

- Foundational CAPM papers: Sharpe (1964); Lintner (1965); Mossin (1966)
- Zero-beta and early tests: Black (1972); Black, Jensen, and Scholes (1972)
- Two-pass cross-sectional method: Fama and MacBeth (1973)
- Early cracks: Basu (1977); Banz (1981); De Bondt and Thaler (1985)
- Joint-testing framework: Roll (1977); Gibbons, Ross, and Shanken (1989)

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